CITY OF WALNUT CREEK

Agenda Item Number 6b

Agenda Report

Date: July 21, 2026

To: City Council

From: City Manager's Office, City Attorney's Office, and Community Development Department

Subject: Receive the Elections Code 9212 Report Regarding the Walnut Creek Senior Housing Transit Village Initiative and Consider Two Alternative Resolutions to Either Place the Initiative Measure on the November General Election Ballot or Adopt the Initiative Measure as Proposed

Statement of Issue

On March 18, 2026, the City received a request for a ballot title and summary related to a proposed initiative measure to modify the land use regulations in the City's General Plan, North Downtown Specific Plan and Zoning Ordinance applicable to a 2.4 acre site located at the northeast corner of North California Boulevard and Ygnacio Valley Road. The initiative would create a new "Mixed Use – Residential Senior & Commercial" zoning district, referred to in the initiative as the Walnut Creek Senior Housing Transit Village (Transit Village), to permit senior housing and commercial uses compatible with senior housing and establish accompanying development regulations. On March 25, 2026, the City provided the ballot title and summary for the measure to the initiative proponents, and on April 3, 2026, the proponents began to collect signatures related to the initiative measure. While signatures were being collected and consistent with state law, on April 21, 2026, City Council directed the City Manager to prepare an Election Code 9212 Report on the initiative.

At this meeting, staff will present the findings of the 9212 Report and City Council will be asked to adopt a resolution either placing the Transit Village Initiative on the November 3, 2026 ballot for voter consideration or adopting the Transit Village Initiative as presented.

Discussion

On March 16, 2026, the City Clerk's Office received a Notice of Intent to Circulate Petition for the Transit Village Initiative (Initiative). The proponents of the Initiative are residents Stephen L. Kostka, Marlene R. Farrell, and Haley Murphy.

The purpose of the Initiative is to amend the Walnut Creek General Plan, including the Housing Element, North Downtown Specific Plan, Zoning Ordinance, and Zoning Map to create a new "Mixed Use – Residential Senior & Commercial" (MU-RSC) zoning district applicable to a 2.4 acre parcel located at the northeast corner of North California Boulevard and Ygnacio Valley Road (the "Initiative Area") (Attachment 1). The proposed amendments would allow the Initiative Area to be redeveloped in the future with senior housing and commercial uses compatible with senior housing, replacing the site's current office development. Additionally, the proposed new zoning district would increase the maximum floor area ratio (FAR) for commercial uses on the site from 0.3 to 0.6. The 2.4-acre parcel is owned by Hall Equities Group and is not included in the City's 2023-2031 Housing Element site inventory. The Initiative does not propose a specific development project, but instead establishes the land use regulations that would govern future development of the site.

Specifically, the proposed measure would amend various policies and regulations of the General Plan to incorporate the MU-RSC designation over the Initiative Area, while also specifying that the development potential established by the Initiative could not be reduced without voter approval. The Housing Element would similarly be amended to reflect the creation of the MU-RSC district through voter approval. Likewise, the North Downtown Specific Plan would be amended to revise FAR calculations, setback requirements, and proposed North California Boulevard and Ygnacio Valley Road cross sections. Finally, the City's Zoning Code and Zoning Map would be amended to establish use regulations and development standards for the MU-RSC district. The senior housing use contemplated by the Initiative would be limited to uses serving primarily persons 55 years of age or older. Permitted commercial uses under the Initiative would include, but are not limited to, certain retail sales, banks, eating and/or drinking establishments, food and beverage sales, health clubs, offices, commercial recreation and entertainment, adult and child day care facilities, emergency medical care, and cultural institutions.

Election Code Section 9212 Report

After a Notice of Intent to Circulate Petition is filed with the City, and during the circulation of the petition, California Elections Code Section 9212 allows the City Council to refer the proposed initiative measure to City staff to prepare an informational report ("9212 Report") to analyze any or all of the following elements regarding the initiative measure:

1. Its fiscal impact;
2. Its effect on the internal consistency of the City's general and specific plans, including the housing element, the consistency between planning and zoning, and the limitations on City actions;
3. Its effect on the use of land, the impact on the availability and location of housing, and the ability for the City to meet its regional housing needs;
4. Its impact on funding for infrastructure of all types, including, but not limited to, transportation, schools, parks and open space. The report may also discuss whether the Initiative would likely result in increased infrastructure costs or savings, including the costs of infrastructure maintenance, to current residents and businesses;
5. Its impact on the community's ability to attract and retain businesses and employment;
6. Its impact on the uses of vacant parcels of land;
7. Its impact on agricultural lands, open space, traffic congestion, existing business districts, and developed areas designated for revitalization;
8. Any other matters the legislative body requests to be in the report.

On April 21, 2026, during its public meeting, the City Council directed the City Manager to prepare the 9212 Report evaluating the potential fiscal and land use implications of the proposed Initiative. As authorized by Section 9212, the City Council requested that the report evaluate several project-specific issues, including the Initiative's potential environmental impacts, future entitlement and permitting requirements, consistency with the City's planning and land use documents, affordable housing requirements, Housing Element implications, market demand for senior housing and supporting commercial uses, and the extent to which the Initiative would affect future development options within the Initiative Area, including impacts on Measure A height limits.

The 9212 Report must be presented to the City Council no later than 30 days after the County Elections Official certifies the Initiative petition; this July 21, 2026 meeting is within such timeline.

9212 Report Findings

The Section 9212 Report (Attachment 2) was prepared by a team of qualified consultants retained by the City with expertise in fiscal analysis and land use planning. RSG, Inc. served as the lead author and evaluated the Initiative's fiscal impacts, while Planwest Partners, Inc. analyzed land use, planning, environmental, and regulatory considerations.

The report concluded that approval of the Initiative would result in minimal immediate impacts to the City, as the Initiative alone does not require redevelopment of the subject property. These impacts would consist of the administrative effort necessary to amend the General Plan, North Downtown Specific Plan, Zoning Ordinance, and Zoning Map to implement the Initiative. The report estimates these implementation costs at approximately $250,000, representing primarily staff time, with additional costs associated with legal services and potential consultant assistance needed to prepare and process the required amendments.

If subsequent residential and/or mixed-use development occurs in conformance with the Initiative, the City could benefit from an ongoing annual increase in property tax, property tax in-lieu of vehicle license fees, and retail sales tax revenues ranging from $257,000 to $552,000 attributable to higher assessed property values and new resident spending. Conversely, population growth would increase demand for municipal services, resulting in additional ongoing General Fund and Measure O costs to support City operations in the estimated ranges of $66,000 to $83,000 annually. These costs may include, but are not limited to, arts and recreation and police services.

Beyond the fiscal analysis, the report evaluated the Initiative's land use and regulatory implications. The analysis concludes that the Initiative would establish a new zoning district and amend the General Plan and North Downtown Specific Plan to allow residential and mixed-use residential development by right within the Initiative Area, where multifamily residential development is not currently permitted. Currently, residential uses are generally limited to supportive housing and other specialized residential uses requiring discretionary approval.

The analysis also examines how the Initiative would interact with the City's existing development regulations. Future development would remain subject to applicable ministerial and discretionary approvals, including compliance with the City's Inclusionary Housing Ordinance. The consultants also evaluated how the Initiative would affect implementation of the North Downtown Specific Plan and concluded that, although the Specific Plan's community benefits program would remain available, a qualifying project could achieve greater development intensity under California's Density Bonus Law than through the City's community benefits program.

If approved, the Initiative may result in additional senior housing (age restricted) and increased commercial activity in the North Downtown area compared to existing conditions. The report evaluated potential environmental and development considerations associated with future projects, including traffic and view corridor impacts, the applicability of CEQA exemptions, and the relationship between State Density Bonus Law and the City's Measure A height limitations. Although the Initiative does not propose any specific project and does not specifically amend

Measure A's maximum building height of 89 feet, a future qualifying senior housing project could be eligible under State Density Bonus Law and entitled to receive waivers (and concessions if qualified) to exceed the voter-enacted height limit. The report's market analysis further concludes that sufficient demand exists to support additional senior housing within the community.

Signature Count

On May 4, 2026, proponents for the Initiative filed with the City Clerk initiative petitions related to the Initiative. Consistent with California Elections Code, the City Clerk's office did a prima facie review of the initiative petitions submitted, provided a receipt to the proponents of the initiative measure, and then delivered the petitions to the County Registrar of Voters (ROV) on May 5 so that the ROV could conduct a verification process to determine the number of valid signatures submitted.

On June 26, 2026, the ROV concluded its verification process and certified to City Council that the petition included 5,000 valid signatures (out of 7,248 signatures collected) of registered voters within Walnut Creek. The number of valid signatures exceeds the required number of signatures necessary under the Elections Code, which is 4,987 equating to 10 percent of Walnut Creek registered voters. The certification of the petition is to be presented to the Council at this meeting.

Next Steps Regarding Transit Village Initiative

Elections Code Section 9215 only provides two options for the City Council if an initiative petition has obtained the required number of valid signatures. Specifically, the Council may either:

(1) Place the initiative measure, without alteration, on the ballot before the voters; or

(2) Adopt the measure as proposed without alteration, at the regular meeting at which the certification of the petition is presented, or within 10 days after it is presented.

Option 1

If the City Council selects the first option (Attachment 3), the measure would be included as part of the November 3, 2026 election. In order to place the Initiative on the upcoming general election ballot, the City Council must adopt a resolution that (1) establishes November 3, 2026 as the election date for the voters to consider an ordinance amending the Walnut Creek General Plan, North Downtown Specific Plan, Zoning Ordinance, and Zoning Map; (2) orders the submittal of the ordinance to the voters at the election; (3) requests that the Board of Supervisors consent to consolidation of this election with the statewide general election on the

same date; (4) directs the City Attorney to prepare an impartial analysis; and (5) specifies procedures and processes related to ballot arguments.

The proposed Initiative would be submitted to the voters on the ballot in the form of a ballot question. The resolution in Attachment 3 contains the ballot question.

Option 2

If the City Council selects the second option (Attachment 4), the ordinance amending various land use documents as proposed by the Initiative would need to be adopted at this July 21, 2026 meeting (at which time the certification of the Initiative petition would be presented) or within 10 days from this meeting.

Ballot Arguments

Pursuant to California Elections Code Section 9282, when a measure is placed on the ballot by a legislative body, that body may authorize members of the legislative body to submit a written argument in favor of or against the measure, and a rebuttal argument if applicable. The City Council is not required to submit an argument for or against the measure and may opt to allow others to submit such arguments. If the City Council does choose to submit an argument, the Council's argument would have priority over other ballot arguments. If the City Council chooses to authorize a ballot argument related to the Transit Village Initiative, the resolution in Attachment 3 should include:

- Authorize _____ and _____ to submit a written argument in support or opposition of the proposed measure, not to exceed three hundred (300) words, on behalf of the City Council, and recommend Councilmembers and/or others (up to five signatures total) to sign the supporting or opposing argument for publication; and
- In the event that an argument is filed for or against the measure, authorize _____ and _____ to submit a rebuttal argument consistent with the primary ballot argument they authored on behalf of the City Council, not to exceed two hundred and fifty (250) words. The rebuttal may also be signed by Councilmembers and/or others (up to five signatures total), which may be different from those who signed the primary argument.

As noted above, if more than one supporting/opposing arguments is submitted to the City Clerk, the City Clerk will need to select one argument in favor and one argument in opposition for printing and distribution to the voters. Arguments submitted by members of the legislative body receive priority before all other arguments submitted in distribution to voters. Arguments submitted by the initiative proponent have second priority.

Specifically, Elections Code section 9287 states:

"*If more than one argument for or more than one argument against any city measure is submitted to the city elections official within the time prescribed, he or she shall select one of the arguments in favor and one of the arguments against the measure for printing and distribution to the voters. In selecting the argument, the city elections official shall give preference and priority, in the order named, to the arguments of the following:*

(1) *The legislative body, or member or members of the legislative body authorized by that body.*

(2) *The individual voter, or bona fide association of citizens, or combination of voters and associations, who are the bona fide sponsors or proponents of the measure.*

(3) *Bona fide associations of citizens.*

(4) *Individual voters who are eligible to vote on the measure.*

Timeline for Placing the Initiative on the Ballot

No later than August 7, 2026 - City Council to pass resolution, formally placing the measure on the November 2026 ballot; this action should include direction regarding the authority to submit a ballot argument in support of the measure and a potential rebuttal argument.

No later than August 7, 2026 - Deadline to submit ballot measure to Contra Costa County Board of Supervisors.

August 19, 2026 - City Clerk to file primary arguments with the Contra Costa County Elections Department through submission to the City Clerk.

August 19, 2026 - City Attorney to prepare and submit an impartial analysis, if directed by the City Council.

August 24, 2026 - Rebuttal arguments must be filed with the Contra Costa County Elections Department through submission to the City Clerk (only for opposing arguments filed).

November 3, 2026 - Election Day

Environmental Review

Pursuant to the Elections Code section 9215, the City Council in adopting or submitting the initiative to the voters must do so "without alteration". It does not have authority to alter, condition, or mitigate a voter-sponsored initiative that has qualified under Elections Code.

Tuolumne Jobs & Small Bus. Alliance v Superior Court (2014) 59 Cal.4th 1029 (California Supreme Court holding that the California Environmental Quality Act (CEQA) does not apply to voter-sponsored initiatives, even where the initiative is adopted by local officials rather than the voters). Additionally, under CEQA Guidelines section 15378(b)(3), CEQA does not apply when a legislative body submits a voter-sponsored initiative to the voters. As a result, CEQA does not apply to the Initiative itself. CEQA does not apply to the Initiative itself.

If the Initiative is approved, any future senior housing development proposed pursuant to the Initiative may be subject to CEQA. However, depending on the scope of the project, there are multiple streamlining provisions that may allow future development to proceed without preparation of an environmental document.

Public Noticing

The City Council's consideration of this Transit Village Initiative does not require specific notice beyond that necessary to comply with the Brown Act. No additional public notice has been provided for this hearing.

Financial Impacts

According to the 9212 Report, the fiscal impact of the initiative itself would be limited to City staff and legal counsel costs to amend the General Plan, North Downtown Specific Plan, Zoning Ordinance, and Zoning Map with the Initiative provisions, which is estimated to be approximately $250,000.

The City estimates the additional cost for placing the measure on the ballot is estimated to be $30,000 to $35,000.

Passage of the initiative itself does not have ongoing fiscal impacts. However, according to the 9212 Report, if subsequent residential and/or mixed-use development occurs in conformance with the Initiative, impacts could include:

- Ongoing annual increases of property tax, property tax in-lieu of motor vehicle license fees, and retail sales tax revenues ranging from $257,000 to $552,000.
- Ongoing General Fund and Measure O costs ranging from $66,000 to $83,000 annually to support increased Police Department and Arts and Recreation Department costs due to population growth.

- Development of affordable housing units pursuant to the City's inclusionary housing ordinance or in-lieu fee revenue of approximately $6.4 million to $7.7 million for a 100% market rate project.

Additional details, including the assumptions used when developing these projections, are included in Attachment 2.

Pursuant to an executed reimbursement agreement, approved by the City Council on April 21, the cost of the preparation of the 9212 Report incurred by the City, including staff, counsel and third-party consultant costs, will be paid/reimbursed by Friends of Walnut Creek Senior Housing.

Attachments

Attachment 1:	Proposed Senior Housing Transit Village Initiative (also Exhibit A for Attachments 3 and 4 noted below)
Attachment 2:	9212 Report
Attachment 3	Draft Resolution to Place the Initiative Measure on the November 3, 2026 General Election
Attachment 4:	Draft Resolution to Adopt the Initiative Measure as Proposed
Attachment 5:	Letter Regarding Accessory Dwelling Units

City Council Action Recommended

Receive the Elections Code 9212 Report and either:

1. Move to adopt the resolution accepting the certified results of signature verification process related to Transit Village Initiative, establishing November 3, 2026 as the election date for the voters to consider an ordinance amending the Walnut Creek General Plan, North Downtown Specific Plan, Zoning Ordinance and Zoning Map; ordering the submittal of the ordinance to the voters at the election; requesting that the Board of Supervisors consent to consolidation of this election with the statewide general election on the same date, directing the City Attorney to prepare an impartial analysis and, if desired, specifying procedures and processes related to ballot arguments; or

2. Move to adopt the resolution to adopt the Transit Village Initiative as proposed without alteration (or adoption can occur within 10 days after this meeting).

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